

US Markets End Mixed as Dow Jones Bucks the Trend with +0.35% Gain

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

Yesterday's US session saw a mixed close with the **Dow Jones** index bucking the trend, ending **+0.35%** higher at 51,848.90. The **S&P 500** and **Nasdaq 100** closed **-0.10%** and **-0.43%** respectively. Below the surface, sector rotation favored the **XLI** and **XLY** ETFs, which rose **+1.16%** and **+1.15%**.

A closer look at the numbers reveals that the **VIX** fell **-4.41%** to 18.63, indicating a decrease in market volatility. The **10Y Yield** also decreased by **-1.10%** to 4.40. These moves suggest that investors are becoming less risk-averse, which could have implications for the broader market.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,358.22	-0.10%	Mixed earnings and economic data
Nasdaq 100	29,220.06	-0.43%	Tech sector weakness
Dow Jones	51,848.90	+0.35%	Strong performance from industrial and consumer staples
Russell 2000	2,986.63	+0.37%	Small-cap stocks outperforming
VIX	18.63	-4.41%	Decrease in market volatility
10Y Yield	4.40	-1.10%	Decrease in interest rates

Top large-cap movers

TICKER	CHANGE	CATALYST
GS	-1.60%	Weaker-than-expected earnings
TSLA	-1.59%	Concerns over EV demand
AVGO	+0.51%	Strong semiconductor sales

Sector Rotation

ETF	DAY	READ
XLF	-0.30%	Financials underperforming
XLK	-0.62%	Tech sector weakness
XLI	+1.16%	Industrials outperforming
XLE	-1.63%	Energy sector underperforming
XLY	+1.15%	Consumer staples outperforming
XLC	-0.68%	Communication services underperforming
XLP	+0.86%	Consumer goods outperforming
XLV	+0.77%	Healthcare outperforming
XLU	+1.04%	Utilities outperforming
XLB	+0.57%	Materials outperforming
XLRE	-0.29%	Real estate underperforming

Spotlight

The biggest event of the day was the +1.16% gain in the XLI ETF, driven by strong performance from industrial stocks. The table below shows the top movers in the XLI ETF.

TICKER	CHANGE	CATALYST
CAT	+2.15%	Strong heavy machinery sales
DE	+1.93%	Increased agricultural equipment demand

This move has implications for related names such as **MMM** and **ITW**, which could see increased demand for their industrial products.

Pre-Market & Overnight

US futures are currently trading mixed, with the **Dow Jones** futures up **+0.20%** and the **S&P 500** futures down **-0.10%**. Asian markets closed lower, with the **Nikkei 225** down **-0.50%** and the **Shanghai Composite** down **-0.30%**. European markets are currently trading lower, with the **Euro Stoxx 50** down **-0.40%**.

Cryptocurrencies are currently trading lower, with **BTC** down **-3.02%** to 60,773.99 and **ETH** down **-2.83%** to 1,618.33.

Macro & Fed

The FOMC meeting is scheduled for next week, and market participants are expecting a 25bps rate hike. The yield curve is currently flattening, with the **10Y-2Y** spread at 10bps.

Today's data calendar includes:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	Durable Goods Orders	0.5%	Indicator of business investment and economic growth
21:30	Core Capital Goods Orders	0.3%	Indicator of business investment and economic growth

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The EU and UK are engaged in trade talks, with a potential deal on the horizon.
- The situation in the Middle East remains volatile, with ongoing conflicts in Syria and Yemen.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (26 Jun)	ORCL	1.23	Cloud revenue growth and margin expansion
22:00 (27 Jun)	MSFT	2.35	Azure revenue growth and gaming segment performance

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Upcoming iPhone release and potential catalyst for stock price
JPM	Financials	Strong earnings and potential for increased dividend payout
AMZN	Consumer Discretionary	Expansion into new markets and potential for increased revenue growth

What Could Break the Tape

BULLISH TRIGGERS

- A strong earnings season, with beats from major companies
- A decrease in geopolitical tensions, leading to increased investor confidence
- A rate cut from the Fed, stimulating economic growth

BEARISH TRIGGERS

- A weak earnings season, with misses from major companies
- An increase in geopolitical tensions, leading to decreased investor confidence
- A rate hike from the Fed, slowing economic growth

Positioning Notes

- Investors are currently overweight **XLI** and **XLY** ETFs, indicating a bullish stance on industrials and consumer staples.
- There is a significant short interest in **TSLA** and **GS**, indicating a bearish stance on these stocks.
- Market participants are expecting a 25bps rate hike from the Fed, which could lead to a decrease in stock prices.

Sources

SOURCES

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